

Multiple Choice (10 marks)

1. Inflation
 - (a) hurts creditors who do not anticipate it.
 - (b) hurts creditors who anticipate it.
 - (c) hurts debtors.
 - (d) both A and D are correct.
2. If the government subsidizes the production of halogen headlights,
 - (a) the demand curve will shift to the left.
 - (b) the demand curve will shift to the right.
 - (c) the supply curve will shift to the left.
 - (d) the supply curve will shift to the right.
3. Sue loses her job at a shoe factory when the economy falls into a recession. Sue is
 - (a) frictionally unemployed.
 - (b) cyclically unemployed.
 - (c) seasonally unemployed.
 - (d) structurally unemployed.
4. Marginal cost (MC) is equal to average variable cost (AVC) and average total cost (ATC) when:
 - (a) marginal cost (MC) intersects AVC and ATC at their maximum points.
 - (b) AVC and ATC intersect MC at its maximum point.
 - (c) MC intersects AVC and ATC at their minimum points.
 - (d) AVC and ATC intersect MC at its minimum point.
5. Fiscal policy refers to
 - (a) increases in taxes to fight recessions.
 - (b) decreases in taxes to fight inflations.
 - (c) changes in government spending and taxes to fight recessions or inflations.
 - (d) federal deficits.

True / False (10 marks)

Answer True or False

6. True or False: The appropriate fiscal policy to remedy a recession requires the federal government to run a surplus.
7. True or False: A competitive firm making zero economic profit is making less than the normal profits of other firms in the market.
8. True or False: Decreasing taxes while keeping spending unchanged effectively addresses an inflationary gap.
9. True or False: Low barriers to entry result in fewer consumer choices, lower price elasticity of demand, and fewer competitors.
10. True or False: Marginal Social Costs equal Private Marginal Costs plus the costs of any negative externalities.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how comparative advantage influences international trade by analyzing the trade of salmon between the United States and anchovies from Peru.
12. Discuss how the establishment of a new software company by a Mexican entrepreneur in St. Louis could influence aggregate demand in the United States.

End of Paper